

Chart of Accounts

Rajeshwari Pawn Broking · prepared for review before any ledger is built

DRAFT — REQUIRES ACCOUNTANT SIGN-OFF

REVISION 2

Changed in revision 2. Revision 1 treated customer advances as a standing liability. Testing against live data showed that to be wrong: an advance reduces the customer's loan, and only advances against *open* bills are outstanding at all. On the sample company the error was material — liabilities overstated by about ₹1.43 crore. Accounts 1020/1021 and 2020, and two lines of the posting map, have been corrected. Section 8 is new.

This document defines every account the business will keep, and states which two accounts each existing operation will post to. It is written to be argued with: the numbering is conventional and easily changed, but the *classifications* in section 5 carry real consequences and are the part worth reading closely.

Nothing here changes how the shop works. Every figure below already exists in the system; what is missing is the double entry that ties them together.

1. What this does and does not touch

The ledger attaches to the existing database the same way cloud sync already does — by trigger. All **19 money-bearing tables already carry a trigger** today (`sync_capture`, which feeds the cloud). A second trigger per table posts the journal entry, inside the same transaction as the operation itself.

- **No existing table is altered.** No column added, renamed or dropped.
- **No existing screen or process changes.** Bill opening, closing, repledge, advances and today's account keep their present code.
- **New objects only:** chart of accounts, journal entry, journal line, posting triggers, and one opening-balance record per company.

Why triggers rather than application code. A ledger written by the application can be bypassed — by a screen nobody updated, by a SQL fix run at a shop, by a future feature. A trigger cannot be. It records what actually reached the table, not what a screen believed it was doing.

2. Account classes

Range	Class	Normal balance and meaning
1000–1999	Assets	Debit. What the business owns or is owed.
2000–2999	Liabilities	Credit. What the business owes to others.
3000–3999	Capital	Credit. The owner's stake, plus accumulated profit.
4000–4999	Income	Credit. Earnings for the period.
5000–5999	Expenses	Debit. Costs for the period.

The single most important decision in this document. Pledged jewels are **not** an asset of the business. They belong to the customer and are held only as security. The asset is the *loan*. Treating the jewels as stock would roughly double the apparent size of the business and make every ratio drawn from it meaningless. It follows that a repledge is a **liability**: money borrowed against goods that were never ours.

3. The accounts

Code	Account	Where the figure comes from today
1000 ASSETS		
1010	Cash in hand	company_todays_account – actual / available balance
1020	Loans outstanding — Gold	company_billing: amount LESS total_advance_amount_paid, status OPENED or LOCKED, GOLD
1021	Loans outstanding — Silver	same, SILVER
1030	Interest receivable (accrued)	computed – see question Q3
1040	Employee advances recoverable	employee_advance_amount_debit less ..._credit
1050	Other assets	company_other_debit where expense_or_asset = ASSET (3 rows)
2000 LIABILITIES		
2010	Repledge borrowings — financiers	repledge_billing.amount, status GIVEN or OPENED
2020	<i>withdrawn — see revision note</i>	an advance reduces account 1020/1021; it is not a separate liability
2030	Branch and partner accounts	company_other_credit where income_or_liability = LIABILITY
2040	Other liabilities	company_other_credit – remainder
3000 CAPITAL		
3010	Opening capital	entered once, per company – see question Q1
3020	Retained earnings	accumulated profit, posted at year end
3030	Drawings	owner withdrawals – currently inside company_other_debit
4000 INCOME		
4010	Interest on bills	company_billing.close_taken_amount
4020	Document charges	company_billing.document_charge
4030	Fine interest and fine charges	fine_interest_taken, fine_charge_amount
4040	Notice charges recovered	notice_charge_amount
4050	Card lost charges	card_lost_charge
4060	Other income	company_other_credit where income_or_liability = INCOME
4070	Auction surplus	not separately recorded today – see question Q4
5000 EXPENSES		
5010	Salary	employee_salary_amount_debit.debitted_amount
5020	Daily allowance	employee_daily_allowance_debit.debitted_amount
5030	Employee other	employee_other_amount_debit.debitted_amount
5040	Repledge interest paid	repledge_billing.close_taken_amount
5050	Rent	company_other_debit, expense_type = RENT
5060	Printing and stationery	expense_type = STATIONARY
5070	Telephone	expense_type = PHONE BILL
5080	Travel and fuel	expense_type = PETROL
5090	Notice expenses	expense_type = NOTICE
5100	Discount allowed	company_billing.discount_amount – see question Q5
5900	Other expenses	the remaining company_other_debit heads – see section 5

4. Posting map

Each row is one trigger. Read it as: when this happens, debit that account and credit the other.

Event and source table	Debit	Credit
Bill opened company_billing INSERT	1020/1021 Loans outstanding	1010 Cash in hand
Document charge at opening company_billing.document_charge	1010 Cash in hand	4020 Document charges
Bill closed — principal company_billing status → CLOSED	1010 Cash in hand	1020/1021 Loans outstanding for the principal STILL outstanding, i.e. net of any advances already applied — otherwise the loan account is credited twice and goes negative
Bill closed — interest close_taken_amount	1010 Cash in hand	4010 Interest on bills
Fine / notice / card-lost fine_*, notice_*, card_lost_charge	1010 Cash in hand	4030 / 4040 / 4050
Discount given at closing discount_amount	5100 Discount allowed	1020/1021 Loans outstanding
Customer advance received company_advance_amount	1010 Cash in hand	1020/1021 Loans outstanding the advance repays part of the loan; it is not money the business owes
Repledge opened — money in repledge_billing INSERT	1010 Cash in hand	2010 Repledge borrowings
Repledge closed — principal repledge_billing status → RECEIVED	2010 Repledge borrowings	1010 Cash in hand
Repledge closed — interest repledge close_taken_amount	5040 Repledge interest paid	1010 Cash in hand
Salary paid employee_salary_amount_debit	5010 Salary	1010 Cash in hand
Daily allowance paid employee_daily_allowance_debit	5020 Daily allowance	1010 Cash in hand
Employee advance paid employee_advance_amount_debit	1040 Employee advances	1010 Cash in hand
Employee advance recovered employee_advance_amount_credit	1010 Cash in hand	1040 Employee advances
Shop expense paid company_other_debit (EXPENSE)	5050–5900 by head	1010 Cash in hand
Money received from branch or partner company_other_credit (LIABILITY)	1010 Cash in hand	2030 Branch and partner

5. What the data says — three things needing a decision

5.1 The same head is classified two different ways

Three heads in `company_other_credit` appear as both INCOME and LIABILITY. Until each is settled, the same rupee lands in a different place depending on who keyed it.

Head	Classified as	Rows affected
OTHER	INCOME + LIABILITY	157
ALWARPURAM	INCOME + LIABILITY	28
VATTI KASU	INCOME + LIABILITY	20

5.2 Sixty free-text expense heads

`company_other_debit` holds **60 distinct expense heads across 3,159 rows**, typed by hand. Some are clearly accounts — RENT, STATIONARY, PETROL, PHONE BILL. Others are descriptions rather than heads — MAVU MIL WORKING, KADAI ALTRESAN, PU (FLOWER), THARMAM, CITU KASU. Each needs mapping once to a code in section 3. New entries should then pick from the list rather than typing free text, or the same problem returns.

5.3 Most "credits" are not income

Of the credit side, **343 rows are LIABILITY against only 3 rows of INCOME**. The liability rows carry names such as ANNA NAGAR KADAI, ALWARPURAM, K. NEELAMANI and T. KARUNANITHI — money moved between branches or with partners, not earnings. Classifying these as income would overstate profit substantially. Account 2030 exists for exactly this, and each name should become its own sub-account so balances can be confirmed with the other side.

6. Questions for the accountant

Q1 — Opening capital.

A balance sheet derived from operational data balances by construction, so it cannot detect its own errors. Entering one opening capital figure, as at a chosen date, makes a difference meaningful. Is that figure available, and from what date should the ledger start?

Q2 — Branch and partner balances.

Should each branch and each partner in 2030 be a separate sub-account, and should these be reconciled against the other branch's own books?

Q3 — Interest accrued but not received.

A bill open four months has earned interest not yet collected. Recognising it raises reported profit and creates asset 1030. Cash basis or accrual?

Q4 — Auction.

When goods are auctioned, recovery above the loan is a surplus and recovery below it a write-off. Neither is recorded separately today. How often does this occur, and should it have its own head?

Q5 — Discount at closing.

A discount reduces what the customer pays. It can be treated as an expense (5100) or as a deduction from interest income (4010). Both are defensible; the choice changes reported income.

Q6 — Multiple companies.

The system holds several companies (CMP1, CMP2...). Should each keep a separate ledger and balance sheet, with a consolidated view above them, or one combined set?

7. What happens after sign-off

- **Accounts are created** exactly as agreed here — a data change only.

- **Posting triggers are added**, one per money table, mirroring the existing sync-trigger pattern. No application code changes.
- **Opening balances are posted** once, as at the agreed date. Existing history — roughly 40,000 bills and 7,800 repledges — stays where it is; the ledger runs forward from that date.
- **Trial balance and balance sheet** then read the ledger rather than deriving figures, and a difference means something is genuinely wrong.

The chart of accounts is the part that is expensive to change later. Once thousands of entries carry a classification, correcting it means restating them. The code and the triggers are straightforward by comparison — this document is where the care belongs.

8. Migrating an existing shop

Each shop keeps its own database, so this runs once per shop — the same pattern as the one-time scripts already in use.

8.1 Opening balance, not a replay of history

The ledger starts from a single opening entry stating the position on a chosen date. It does not replay past transactions.

Replaying would mean roughly 40,000 bills and 7,800 repledges per shop turning into a quarter of a million journal lines — and it would faithfully reproduce every defect in the historical data. Several are already known: bills carrying repledge references settled months earlier, denomination rows a rename silently skipped, and 185 rows classified as both income and liability. Those belong in the operational tables, where the existing reports read them, not written permanently into an accounting record. History stays queryable exactly as it is today.

8.2 Repair before measuring

An opening balance is only as sound as the data underneath it. The known repairs must run first, or the opening position inherits their errors and every later statement is measured from a wrong starting point.

8.3 A worked example

Computed from the live database of the sample company. The figures are real; they are shown to demonstrate the method and the size of the numbers involved.

Opening position	Debit	Credit
1010 Cash in hand	2,19,512	
1020/1021 Loans outstanding, net of advances	7,31,60,826	
1040 Employee advances recoverable	2,84,800	
2010 Repledge borrowings		5,57,04,200
3010 Opening capital — balancing figure		1,79,60,938
Total	7,36,65,138	7,36,65,138

The capital figure is the question, not the answer. It is derived here only because nothing else supplies it. If the accountant's own books show a materially different figure, the difference is the useful finding — it points at what the system does not hold, such as fixed assets, borrowings outside the system, or interest accrued but not recognised. That reconciliation should happen before the entry is posted, not after.

8.4 Choosing the cut-over date

A financial year end or month end, on a day whose account has been closed — the L marker on today's account — so cash in hand is a settled figure rather than a mid-day one.

8.5 Order of work, per shop

- Run the data repairs.
- Compute the opening position and give it to the accountant.
- Confirm or correct the capital figure.
- Post the opening entry, dated at cut-over.
- Enable the posting triggers.
- Run both systems side by side for one month.

That parallel month is the real test. The existing Today's Account and Trial Balance keep running untouched, and the ledger is compared against them daily. If the two drift apart, it is discovered on live data while the old reports are still authoritative — which is the cheapest possible moment to find out.

